

Table 4.1. Breaking down a budget into more detailed categories

Budgeting category	Monthly percentage of budget
Housing ²²	30%
Insurance	10-20%
Food	10%
Savings/Retirement	10%
Transportation	10%
Utilities	5-10%
Recreation	5-10%
Personal	5-10%
Miscellaneous	5-10%
Giving	5-10%
Health	5-10%

A more detailed budget like this one may help individuals who have more difficulty tracking their money. Using this method should help you figure out exactly how much you should be allocating to each of your expenses. Of course, each person is different, so you will need to monitor yourself very closely and figure out which category is the most troublesome. Table 4.2 demonstrates what this budget would look like for the same person who makes \$4,000 per month after taxes.

²² Because housing is so expensive today, many sources recommend budgeting 30% for this category before taxes—that is, 30% of your full salary—especially if you are renting.